higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

APPLIED ACCOUNTING
NQF LEVEL 3

(3011003)

26 February 2019 (X-Paper)
09:00–12:00

Non-programmable calculators may be used.

This question paper consists of 13 pages and an answer book of 17 pages.

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TIME: 3 HOURS
MARKS: 200

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. No pages may be removed from the ANSWER BOOK.
5. Use the table below to guide you in how much time to spend answering each question.
6. Show ALL your calculations.
7. Write neatly and legibly.

QUESTIONS	TOPICS	MARKS	TIME ALLOCATED
SECTION A			
1	Short questions	20	18 minutes
2	Short theoretical questions	20	18 minutes
3	Calculations and short theoretical questions	20	18 minutes
SECTION B			
4	Journals	60	54 minutes
5	General Ledger and source documents	30	27 minutes
6	Financial statements	40	36 minutes
7	Accounting equation	10	9 minutes
	TOTAL	**200**	**180 minutes**

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SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 Donations made by a business to a local church are recorded in the … journal.

A cash payments
B general
C debtors
D creditors

1.1.2 J Joel, a debtor, owed the business R40 000. He settled the outstanding account and was given 7,5% discount for early payment.

What amount will be recorded on the receipt?

A R47 000
B R42 200
C R37 000
D R4 120

1.1.3 Calculate the interest of an investment of R120 000, which was invested six months ago at 12% per annum.

A R14 400
B R8 400
C R7 200
D R14 120

1.1.4 During the month, the business received a letter from an attorney to inform us that P Cola, a debtor, is insolvent. The journal entry to record the irrecoverable debt will be:

A Debit 'bad debts' and credit 'bank'
B Debit 'bank' and credit 'debtors control'
C Debit 'debtors control' and credit 'bad debts'
D Debit 'bad debts' and credit 'debtors control'

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1.1.5 The total amount bought from a supplier amounts to R10 800, VAT exclusive.

How much will the input VAT be?

A R1 326,32
B R1 512,00
C R12 312,00
D R9 288,00

1.1.6 Eagle Bank granted Jeff & Sons a loan of R68 000,00 at an interest rate of 10% per annum.

Calculate the interest payable for the first year.

A R 6 800
B R68 000
C R61 200
D R 3 400

1.1.7 A … is the source document that is used for recording capital contribution by the owner.

A cheque counterfoil
B receipt
C journal voucher
D debit note

1.1.8 Interest paid on a bank overdraft will be recorded in the … journal.

A general
B cash receipts
C petty cash
D cash payment

1.1.9 Which ONE of the following is NOT considered a non-credit routine transaction:

A Interest on overdue account
B Reversal of discount
C Purchases of inventory
D Correction of errors

1.1.10 Which ONE of the following is the best method of payment when buying an apple from a street vendor:

A Cheque
B Credit card
C Electronic funds transfer
D Cash

(10 × 1) (10)

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1.2 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (1.2.1–1.2.5) in the ANSWER BOOK.

1.2.1 An age analysis shows how long an account has been in arrears.

1.2.2 When paying directly into a creditor's bank account, the source document will be the original receipt.

1.2.3 Money used to start a business is called drawings.

1.2.4 An original tax invoice will be received from a supplier when goods are bought on credit.

1.2.5 If source documents are incorrectly archived, then enquiries cannot be made regarding a specific transaction.

(5 × 1) (5)

1.3 Complete the following sentences by filling in the missing word. Write only the word next to the question number (1.3.1–1.3.5) in the ANSWER BOOK.

1.3.1 An ordinary cheque is valid for … months.

1.3.2 When reconciling the business' creditors accounts, the credit documents are reconciled with the … received from the creditor.

1.3.3 If a drawer stops a cheque, then the bank will not pay money to the …

1.3.4 When a … cheque is received, it may not be deposited before the date that appears on the cheque.

1.3.5 A cheque is … when there is a mistake on the cheque.

(5 × 1) (5)
[20]

QUESTION 2

2.1 Choose the correct word from those given in brackets. Write only the word next to the question number (2.1.1–2.1.2) in the ANSWER BOOK.

2.1.1 It is necessary to (reimburse/authorise) all returns from customers before processing the return.

2.1.2 (Continuous/Periodic) stock systems constantly keep track of the cost of goods sold.

(2 × 1) (2)

2.2 Give TWO examples of non-routine cash expense transactions. (2)

2.3 Give TWO reasons why a business would return goods purchased on credit to a creditor. (2)

2.4 Briefly differentiate between *bad debt* and *bad debt recovered.* (4)

2.5 Mr L Pi, owner of Sky Pi, started his business recently and his secretary is doing his books. The secretary can process journals but does not know how to draw up the trial balance. The amounts given are correct, but the secretary did not know whether the balances should be reflected on the debit or credit side. The structure of the trial balance is also incorrect.

Required:

Use the information below to prepare a trial balance for Sky Pi for the month ended 31 August 2018.

	Debit	**Credit**
Nominal Account Section		
Drawings	R20 000	
Telephone		R3 500
Rates and taxes		R3 600
Balance Sheet Section		
Bank overdraft	R8 000	
Loan	R17 500	
Services rendered	R22 500	
Balance Sheet Section		
Water and electricity		R18 200
Rent paid	R8 000	
Capital	R15 300	
Equipment		R10 000

(10)
[20]

QUESTION 3

3.1 Mafusa Dealers bought stock from QT Stores for an amount of R43 850 (VAT inclusive) on credit.

Calculate the following and round amounts to the nearest rand. Show ALL calculations.

3.1.1 The total input tax paid (2)

3.1.2 Mafusa Dealers did not pay the amount outstanding for three months and must be charged interest at 5% per annum.

How much interest needs to be charged? (3)

3.1.3 QT Stores was informed that Mafusa Traders have been declared insolvent and can only pay 40 cents in the rand.

How much must be written off? (4)

3.2 The following information was extracted from the general ledger of QT Stores:

GENERAL LEDGER OF QT STORES
DEBTORS CONTROL

2018 Aug	1	Balance	b/d	5 000	2018 Aug	31	Debtors allowances	DAJ	32 000
	31	Sales	DJ	80 000			Bank and discount allowed	CRJ	15 280
		Bank	CPJ	8 000			Journal credits	GJ	12 500
		Journal debits	GJ	4 760			Balance	c/d	37 980
				97 760					97 760
Sep	1	Balance	b/d	37 980					

Answer the following questions with regards to the debtors control account of QT Stores:

3.2.1 Provide the source documents that will support the following entries in the debtors control account:

(a) R32 000 on the credit side
(b) R80 000 on the debit side

(2 × 1) (2)

3.2.2 Give ONE reason for each of the following entries. Do NOT give the same reason for both.

(a) R4 760 on the debit side
(b) R12 500 on the credit side

(2 × 1) (2)

3.3 Explain why the balance of the debtors control account in the general ledger should be the same as the total on the debtors list. (2)

3.4 You are the newly appointed debtors clerk of QT Stores.

Draw up an age analysis for the debtor, J Son from the following information:

SUMMARY OF THE TRANSACTIONS FOR J SON

Date	Transaction	Amount
01/05/2018	Balance	R4 200
20/05/2018	Payment on account	R4 000
14/06/2018	Credit sale	R3 700
25/06/2018	Payment on account for credit sales in June 2018	R3 200
12/07/2018	Credit sale	R8 500
18/07/2018	Returned items bought on 12/07/2018	R1 300
25/08/2018	Credit sale	R2 000
28/08/2018	Credit sale	R750

(5)
[20]

TOTAL SECTION A: 60

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SECTION B

QUESTION 4

Mankomo's Paradise is a new business that sells a variety of consumer goods. The business is a registered VAT vendor and charges VAT at 14%. The business marks all their goods up at a constant mark-up of 50% on cost before allowing any trade discounts. ALL amounts are inclusive of VAT unless otherwise stated.

REQUIRED:

- Use the information below to enter the transactions in the following subsidiary journals for the month ended 31 August 2018.
- Do NOT close off the journals at the end of the month.
- Calculate VAT where it is applicable except for the general journal.
- Round off amounts to the nearest rand.

4.1	Cash Receipts Journal	(15)
4.2	Cash Payments Journal	(11)
4.3	Creditors Journal	(6)
4.4	Creditors Allowances Journal	(3)
4.5	Debtors Journal	(9)
4.6	Debtors Allowances Journal	(8)
4.7	General Journal (no narrations required)	(8)

DATE	TRANSACTION
1	Noxy Mankomo, the owner of Mankomo's Paradise, directly deposited R20 000 into the business's bank account. Receipt R-N2 was issued.
2	Paid rent for the store room by cheque no. 09 to Stander Estates, R10 000.
5	Purchased trading inventory by cheque number 10 from Hi-Lo Traders, R17 000. Purchased goods on credit from Tinny Traders. Received a credit invoice and renumbered it H16 for R84 102 (VAT exclusive) less 2% trade discount for bulk purchases.
8	Sold goods on credit to M Himalaya and issued invoice D81 for R4 000 (VAT exclusive). Cash sales R8 900 (VAT exclusive) according to the cash register roll.
11	Sold goods on credit to R Venter for R29 070. Invoice D82 was issued.
15	Purchased a new printer cartridge and printing paper for the office on credit from Linda Offices. Received credit invoice for R886 and renumbered it to H17.

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DATE	TRANSACTION
17	Issued credit note 78 and 79 to the following customers who returned goods to Mankomo's Paradise: • M Himalaya R2 600 • R Venter R3 250
18	Issued receipt R-N3 to M Himalaya in full settlement of his account. R60 discount was given for early payment. Made a deposit into the business' current account.
20	Received a letter from R Venter's attorneys, stating that she has gone into liquidation. A cheque was received for 40c in the rand from her insolvent estate and receipt R-N4 was issued. Journal voucher JV2 was issued for the remainder of the debt to be written off as irrecoverable. We returned goods to Tinny Traders worth R38 600 due to inferior quality. Debit note 82 was issued. Made a deposit into the business's current account.
22	Made an electronic funds transfer to Tinny Traders in full settlement of the amount and less 5% discount for early settlement.
27	Drew a cheque number 11 in favour of Linda Office to settle the account. No discount was received.
30	The bank statement from VEST Bank showed the following credit: Interest R345 Paid the municipality R3 600 with cheque 12 for rates and taxes. R2 500 was for the business and the remainder was on behalf of the owner.
31	Purchased stationery for R250 and packing material was incorrectly debited. Journal voucher JV3 was issued to correct the error.

[60]

QUESTION 5

5.1 The bookkeeper of Jola Stores processed the subsidiary journals for August 2018. The bookkeeper had an emergency operation and did not prepare the general ledger.

The opening balances/totals on the 1 August 2018 were as follows:

Trading stock	R92 100
Bank overdraft	R33 250
VAT control (debit balance)	R883
Cost of sales	R16 215

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REQUIRED:

- Enter the opening balances in the relevant accounts in the general ledger.
- Thereafter, post the subsidiary journal totals to appropriate accounts.
- Balance ONLY the VAT Control and Cost of Sales accounts.
- Post ONLY to the following accounts:

Trading stock (5)
Bank (3)
VAT control (9)
Cost of sales (5)

CASH RECEIPTS JOURNAL OF THE JOLA STORES – August 2018								CRJ
Doc	**Details**	**Analysis of receipt**	**Bank**	**Debtors control**	**VAT**	**Sales**	**Cost of sales**	**Sundry accounts**
			110 238	14 255	24 288	66 348	44 436	5 347

CASH PAYMENTS JOURNAL OF THE JOLA STORES – August 2018						CPJ
Doc	**Name of payee**	**Bank**	**Creditors control**	**VAT**	**Trading stock**	**Sundry accounts**
		111 912	72 630	3 832	15 789	19 661

CREDITORS JOURNAL OF THE JOLA STORES – August 2018					CJ
Doc	**Details**	**Creditors control**	**VAT**	**Trading stock**	**Sundry accounts**
		140 021	17 195	74 510	48 316

CREDITORS ALLOWANCES JOURNAL OF THE JOLA STORES – August 2018					CAJ
Doc	**Details**	**Creditors control**	**VAT**	**Trading stock**	**Sundry accounts**
		12 810	1 573	6 237	5 000

5.2 Complete the documents in the ANSWER BOOK with the following information:

5.2.1 Jola Stores issued a credit invoice to The Pulse. However, it was only partially completed. Complete the missing information.

5.2.2 On 25 September 2018, The Pulse paid Jola Stores an amount of R5 000. Complete the missing information on the receipt

(2 × 4) (8)
[30]

QUESTION 6

Lime & Lia decided to start a business, Limza Traders, as partners. The accounting clerk prepared the books but has no experience drawing up financial statements for the year ended 30 September 2018.

REQUIRED:

Prepare the following for Limza Traders for the year ended 30 September 2018 using the balances from the general ledger given:

6.1 An income statement (18)

6.2 A balance sheet (12)

6.3 The notes of the balance sheet (10)

List of balances from the general ledger for the year ended 30 September 2018:

Account	R
Drawings	25 000
Cost of sales	18 200
Discount received	15 360
Sales	68 980
Trading stock	14 242
Debtors allowances	5 060
Bank overdraft	6 115
Land and buildings	136 050
Bad debts recovered	2 720
Rent paid	36 700
Bank charges	6 750
Rent received	42 350
Capital	97 080
Stationery	450
Debtors control	28 245
Packing material	3 560
Equipment	23 550
Creditors control	68 902
Cash float	1 060
Fixed Deposit @ 8% per annum	36 000
Interest on fixed deposit	*?
Petty cash	1 300
Advertising	6 470
Loan @ 5% per annum (Obtained on 01/04/2018)	70 000
Interest on loan	*?

Calculate the interest for the fixed deposit and the loan. The entry in the bank account has already been done. **[40]**

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QUESTION 7

Use the transactions below to show the influence on the accounting equation in the ANSWER BOOK. Show the increase with +, decrease with -, and no effect with 0.

NOTE: Ignore VAT for this question.

Example: The owner contributed additional capital of R50 000.

Number	Journal	General Ledger		Assets	Owner's equity	Liabilities
		Debit	Credit			
e.g.	Cash receipts journal	Bank	Capital	+ 50 000	+50 000	0

7.1 Credit purchases of trading stock from Just Traders for R2 850.

7.2 Stop order for monthly insurance for R750.

(2 × 5) **[10]**

TOTAL SECTION B: 140
GRAND TOTAL: 200

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EXAMINATION NUMBER:													
CENTRE NUMBER:													

ANSWER BOOK

APPLIED ACCOUNTING
NQF LEVEL 3

26 FEBRUARY 2019

QUESTIONS	TOPICS	MARKS	MARK ACHIEVED
SECTION A			
1	Short questions	20	
2	Short theoretical questions	20	
3	Calculations and short theoretical questions	20	
SECTION B			
4	Journals	60	
5	General Ledger and source documents	30	
6	Financial statements	40	
7	Accounting equation	10	
	TOTAL	**200**	

PERCENTAGE ACHIEVED:

This answer book consists of 17 pages.

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EXAMINATION NUMBER: | | | | | | | | | | | | | |

CENTRE NUMBER: | | | | | | | | | |

SECTION A

QUESTION 1

1.1 1.1.1 _____

1.1.2 _____

1.1.3 _____

1.1.4 _____

1.1.5 _____

1.1.6 _____

1.1.7 _____

1.1.8 _____

1.1.9 _____

1.1.10 _____

(10 × 1) (10)

1.2 1.2.1 _____

1.2.2 _____

1.2.3 _____

1.2.4 _____

1.2.5 _____

(5 × 1) (5)

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CENTRE NUMBER: | | | | | | | | | |

1.3 1.3.1 _____

1.3.2 _____

1.3.3 _____

1.3.4 _____

1.3.5 _____

(5 × 1) (5)
[20]

QUESTION 2

2.1 2.1.1 _____

2.1.2 _____

(2 × 1) (2)

2.2 _____

_____

(2 × 1) (2)

2.3 _____

_____

_____

_____

(2)

2.4 _____

_____

_____

_____

_____

_____

(4)

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CENTRE NUMBER: | | | | | | | | | |

2.5

TRIAL BALANCE OF SKY PI TRADERS ON 31 AUGUST 2018			
	FOL	**DEBIT**	**CREDIT**
Balance sheet section			
Nominal account section			

(10)
[20]

EXAMINATION NUMBER: | | | | | | | | | | | | | |

CENTRE NUMBER: | | | | | | | | | |

QUESTION 3

3.1

3.1.1 _____

_____

_____ (2)

3.1.2 _____

_____

_____ (3)

3.1.3 _____

_____

_____

_____

_____ (4)

3.2 3.2.1 (a) _____

_____

(b) _____

_____ (2 × 1) (2)

3.2.2 (a) _____

_____

(b) _____

_____ (2 × 1) (2)

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EXAMINATION NUMBER:

CENTRE NUMBER:

3.3

(2)

3.4 **AGE ANALYSIS OF QT STORES – 31 AUGUST 2018**

Debtor	90 days	60 days	30 days	Current	Total

(5)
[20]

TOTAL SECTION A: 60

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EXAMINATION NUMBER: | | | | | | | | | | | | | |

CENTRE NUMBER: | | | | | | | | | |

SECTION B

QUESTION 4

4.1 **CASH RECEIPTS JOURNAL OF MANKOMO'S PARADISE – AUGUST 2018 – CRJ6**

Doc	Day	Details	Analysis of receipts	Bank	Sales	Cost of sales	VAT	Debtors control	Discount allowed	Sundry accounts		
										Amount	Fol	Details

(15)

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CENTRE NUMBER: | | | | | | | | | |

4.2 **CASH PAYMENTS JOURNAL OF MANKOMO'S PARADISE – AUGUST 2018 – CPJ6**

Doc	Day	Payee	Bank	Trading stock	VAT Control	Creditors control	Discount received	Sundry accounts		
								Amount	Fol	Details

(11)

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EXAMINATION NUMBER:													
CENTRE NUMBER:													

4.3 **CREDITORS JOURNAL OF MANKOMO'S PARADISE – AUGUST 2018 – CJ6**

Doc	**Day**	**Creditor**	**Creditors control**	**Trading stock**	**VAT Control**	**Stationery**	**Sundry accounts**		
							Amount	**Fol**	**Details**

(6)

4.4 **CREDITORS ALLOWANCES JOURNAL OF MANKOMO'S PARADISE – AUGUST 2018 – CAJ6**

Doc	**Day**	**Creditor**	**Creditors control**	**Trading stock**	**VAT Control**	**Stationery**	**Sundry accounts**		
							Amount	**Fol**	**Details**

(3)

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EXAMINATION NUMBER:	
CENTRE NUMBER:	

4.5 **DEBTORS JOURNAL OF MANKOMO'S PARADISE – AUGUST 2018 – DJ6**

Doc	Day	Debtor	Debtors control	Sales	VAT	Cost of sales

(9)

4.6 **DEBTORS ALLOWANCES JOURNAL OF MANKOMO'S PARADISE – AUGUST 2018 – DAJ6**

Doc	Day	Debtor	Debtors control	Debtors allowance	VAT	Cost of sales

(8)

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CENTRE NUMBER: | | | | | | | | | |

4.7 **GENERAL JOURNAL OF MANKOMO'S PARADISE – AUGUST 2018 – GJ6**

Day	Details	General Ledger		Debtors Ledger		Creditors Ledger	
		Debit	Credit	Debit	Credit	Debit	Credit

(8)
[60]

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EXAMINATION NUMBER: | | | | | | | | | | | | | |

CENTRE NUMBER: | | | | | | | | | |

QUESTION 5

5.1

GENERAL LEDGER OF JOLA STORES

DR **CR**

TRADING STOCK **B1**

							(5)

BANK **B2**

							(3)

VAT CONTROL **B3**

							(9)

COST OF SALES **N1**

							(5)

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EXAMINATION NUMBER: | | | | | | | | | | | | | |

CENTRE NUMBER: | | | | | | | | | |

5.2 5.2.1

JOLA STORES

Tax Invoice

JSINV 456

VAT NO: 4261321655

Date: 24/09/2018

To: The Pulse

Quantity	Description	Price		Amount	
		R	**C**	**R**	**C**
20	Boxes of paper	249	99	4 999	80
40	Lever arch files	39	89	1 595	60
Terms:		Subtotal		6 595	40
5% within 30 days		7% discount			
		Total			
		14% VAT			
		TOTAL			

(4)

5.2.2

Number: 241

Date: _____

JOLA STORES

Cash received from:		**In payment of:**	*Payment on account*
Amount			***R***
Received by:	*J. Jules*		

(4)

[30]

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CENTRE NUMBER:													

QUESTION 6

6.1 **LIMZA TRADERS**

Income Statement for year ending 30 September 2018

(18)

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EXAMINATION NUMBER: | | | | | | | | | | | | | |

CENTRE NUMBER: | | | | | | | | | |

6.2 **Balance Sheet of Limza Traders as at 30 September 2018**

	NOTE		

(12)

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EXAMINATION NUMBER:													
CENTRE NUMBER:													

6.3 **NOTES TO BALANCE SHEET**

1. Property, Plant and Equipment		
2. Cash and Cash Equivalents		
3. Capital		

(10)
[40]

NSC

EXAMINATION NUMBER: | | | | | | | | | | | | | |

CENTRE NUMBER: | | | | | | | | | |

QUESTION 7

No	Journal	General ledger		Assets	Owner's equity	Liabilities
		Debit	Credit			
e.g.	Cash receipts journal	Bank	Capital	+50 000	+50 000	0
7.1						
7.2						

[10]

TOTAL SECTION B: 140
GRAND TOTAL: 200

NCS

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